Source: ABC News (Ian Verrender, analysis)
Wednesday 11 November 2026

Cost-of-living anger reshapes politics, with spillovers for Australia

> Voters in the **US midterms** turned against the Trump administration, and New Zealand's election was too close to call. ABC analysis argues that both results matter for Australia, through **financial flows** and **migration**.

WHAT HAPPENED

- **US:** markets first welcomed the midterm result, then tech stocks sold off by about 6% on fears of tighter rules for data centres.
- **Debt:** US government debt is about **126% of GDP**, compared with about **33%** for Australia. The US holds about 38% of the world's US$112 trillion in government debt.
- **Super exposure:** Australian super funds have up to **20%** of their investments on Wall Street, mostly in tech.
- **New Zealand:** cash rate 2.75%, inflation 3.7%, unemployment **5.7%**. About **120,000** New Zealanders moved to Australia in the three years to mid-2026.
- The analysis says **trans-Tasman migration** is likely to add pressure to Australia's unemployment rate.

Portfolio investment: buying shares or bonds overseas, e.g. super funds on Wall Street
Labour supply: the number of people willing and able to work
Public debt: the stock of government borrowing, often shown as % of GDP

KEY NUMBERS

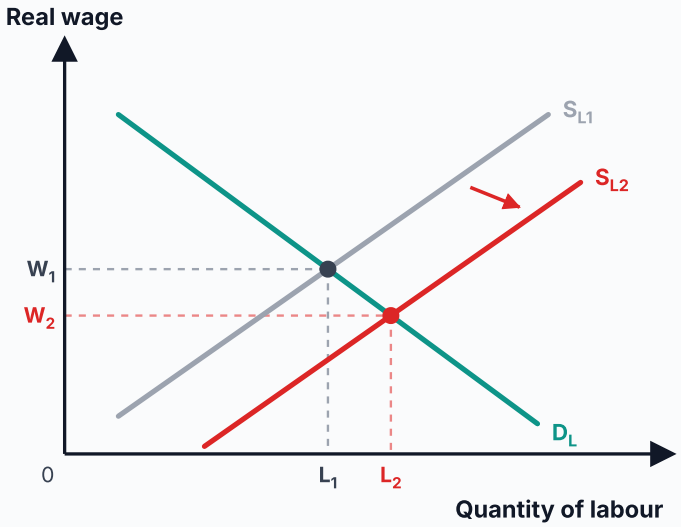
126%
US government debt, % of GDP

33%
Australian government debt, % of GDP

~120,000
NZers who moved to Australia, 3 years to mid-2026

5.7%
NZ unemployment rate

DIAGRAM — Migration adds to labour supply



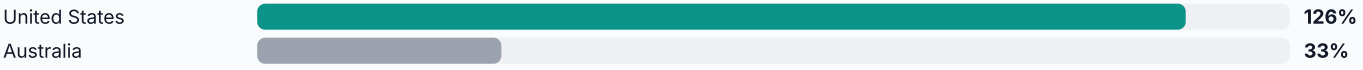
An inflow of New Zealand workers shifts labour supply from S_{L1} to S_{L2}.

Employment rises from L_1 to L_2, but the market wage falls from W_1 to W_2. If wages are sticky and labour demand is weakening, the extra workers instead show up as **higher unemployment** in the short run.

In the long run, migrants also spend, which raises labour demand too.

Exam angle: link migration to both sides of the economy: it raises aggregate supply (more workers) **and** aggregate demand (more consumers).

BAR CHART — Government debt as a share of GDP



Source: figures cited by ABC News (Ian Verrender). Bars scaled to 140%.

SYLLABUS LINK

Topic 2 – financial flows and foreign investment (super funds offshore); global influences on Australia. Topic 3 – the labour market and unemployment.

TRY THIS

Explain how an increase in migration from New Zealand could affect Australia's labour market.
(4 MARKS)

ABC News – Why cost-of-living concerns are up-ending global politics: https://www.abc.net.au/news/2026-11-10/why-cost-of-living-concerns-are-up-ending-global-politics-us-nz/107365544

Diagrams are illustrative, not to scale